

S LINE TRANSPORTATION INC.

INDEPENDENT CONTRACTOR TRANSPORTATION AGREEMENT

BETWEEN

S LINE TRANSPORTATION, INC (USDOT # 1106322)

AND

INDEPENDENT CONTRACTOR

(49 CFR Part 376)

This Agreement is effective as of this _____ day of _____,

20_____, at _____:_____ (am/pm) by and between , _____

referenced to hereafter as "CONTRACTOR" located at _____

(Street)(City)(State)(Zip) and

S LINE TRANSPORTATION, INC, referenced to as "CARRIER" located at: **780 B WEST GRAND AVE OAKLAND, CA 94612.**

CONTRACTOR is a licensed motor carrier in the business of offering and providing professional trucking services to customers, including other authorized motor carriers, is the owner of the equipment described in Appendix A to this Agreement and drives and/or will provide drivers fully qualified under all applicable federal and state laws to operate that equipment in interstate and/or intrastate commerce.

CARRIER is in the business of offering and providing motor carrier services to the shipping public and desires to retain the equipment and professional trucking services of CONTRACTOR to meet its transportation commitments. CARRIER is authorized to conduct operations in interstate and/or intrastate commerce pursuant to operating authorities issued by the appropriate federal and state agencies.

CARRIER desires to enter into an agreement to engage CONTRACTOR, as an Independent CONTRACTOR, for the purpose of transporting goods in intrastate and interstate commerce, as may be provided by CARRIER. CONTRACTOR desires to contract with CARRIER to transport said commodities. Therefore, in consideration of mutual promises and agreements set in this Independent CONTRACTOR Transportation Agreement ("Agreement"), CARRIER and CONTRACTOR agree as follows:

1. Copies of this Agreement. This Agreement shall be executed in triplicate. The CARRIER will give one executed copy of this Agreement to the CONTRACTOR, retain one executed copy for itself, and the third executed copy of this Agreement will be placed in the CONTRACTOR's equipment for the duration of the agreement. This will satisfy the requirements of 49 CFR Part 390.

2. Licenses, Permits and Equipment. Independent CONTRACTOR (hereinafter referred to as "CONTRACTOR") is engaged in the trucking business and is fully familiar with the trucking services to be provided and the conditions under which the work is to be performed. CONTRACTOR has title to the vehicle(s) described in this Agreement (hereinafter referred to as "CONTRACTOR Equipment") or has the right to the exclusive use of this CONTRACTOR Equipment, and has lawful possession of this CONTRACTOR Equipment. CONTRACTOR has all state, federal, county, or city certificates, permits,

registrations, authorizations, and licenses that are required or necessary for the conduct of business and the performance of transportation services under the terms of this Agreement. CONTRACTOR will continue to have such certificates, permits, registrations, authorizations and licenses in full force and effect at all times while providing services under the terms of this Agreement.

CONTRACTOR is free to accept or reject any shipment offered by CARRIER. CONTRACTOR is free to provide Equipment and professional truck driving services to other motor CARRIERS during the term of this Agreement. CONTRACTOR is also free to provide the Equipment to other motor CARRIERS during the term of this Agreement in accordance with the requirements of federal law, as described in this Agreement. Throughout this Agreement, "CONTRACTOR's workers" and "CONTRACTOR's drivers" include CONTRACTOR if CONTRACTOR elects to personally perform any aspect of this Agreement.

3. Exclusive Possession and Control by CARRIER. CARRIER shall not have the exclusive possession, control, and use of the equipment, and shall not assume complete responsibility for the operation of the equipment, for the duration of the Agreement, *except as required by Federal Law and the FMCSA*. Any "control" of the equipment is strictly for the purpose of satisfying 49 CFR § 376.12, et. seq. (See Paragraph 6). CARRIER does not agree to make any minimum use of the equipment, to use CONTRACTOR's equipment at any particular time or location, or to furnish any specified number of shipments to CONTRACTOR or to guarantee any amount of revenue to CONTRACTOR. CONTRACTOR is not obligated to accept any specific shipment offered by CARRIER.

CONTRACTOR shall determine:

- A. When to depart in order to comply with the customers scheduling.
- B. The condition and suitability of the equipment.
- C. Fitness of the driver and the availability of adequate hours of service within which to complete the agreed trip.
- D. Selection of routes and safety of road and climatic conditions
- E. Rest, break, fueling, maintenance, repair, and lunch stops.
- F. Where the vehicle is to be fueled, maintained, repaired and operating condition assessed.
- G. The operator's physical condition to perform the duties undertaken.
- H. How Insurance will be secured for CONTRACTOR's operation.

4. Identification of Equipment. During the period of the Agreement, and while the equipment is being operated on behalf of the CARRIER, the equipment shall be identified in accordance with all applicable federal and state regulations.

5. Scope of Operations. During the term of this Agreement, CONTRACTOR may contact CARRIER from time to time to determine whether CARRIER has any shipments that require transportation. In the event CARRIER has shipments that CONTRACTOR agrees to transport, CARRIER shall notify CONTRACTOR of the cargo to be transported and of the time and location to load same, all within a reasonable time prior to the required delivery time. Thereafter, CONTRACTOR will, without delay, cause said cargo to be transported to the place designated by CARRIER and their customer. This Agreement shall not be construed as an agreement by CARRIER to furnish any specific amount of goods, cargo, or loads for transportation by CONTRACTOR in any particular time or place. CARRIER makes

no guarantee of minimum payment for use of the CONTRACTOR Equipment. Likewise, CONTRACTOR shall have the right, at its discretion, to decline to transport any shipment tendered to it by CARRIER, or to refuse to perform specific requests by CARRIER to provide transportation.

Subject only to requirements imposed by law, CONTRACTOR shall direct, in all respects, the operation of its CONTRACTOR Equipment used, and shall exercise full discretion and judgment as an Independent CONTRACTOR in determining the means and methods of performance of service under the terms of this Agreement.

6. Status of CONTRACTOR as Independent Contractor. CONTRACTOR shall be an independent CONTRACTOR with respect to the transportation operations conducted on behalf of the CARRIER at all times during the period this agreement is in effect. Neither CONTRACTOR nor its employees are to be considered employees of CARRIER at any time. Neither party is the agent of the other, nor shall either party have the right to bind the other by contract or otherwise except as specifically provided herein. CONTRACTOR has the right to decline any load offered by CARRIER, without incurring any negative repercussions, including, but not limited to, monetary penalties, refusal to dispatch, or adverse disciplinary or administrative actions.

Contractor will act solely in the capacity of an independent contractor and not as an employee, agent, joint venturer, or partner of carrier for any purpose whatsoever. Carrier shall have no right to, and shall not exercise, control over the manner, or prescribe the means used or method of accomplishing those services which the parties are contracting for pursuant to this agreement. The parties are likewise mindful that 49 CFR § 376.12(c)(4) provides as follows: "Nothing in the provisions required by paragraph (C) (1) of this section is intended to affect whether the Contractor or driver provided by the Contractor is an independent contractor or an employee of the Contractor. An independent contractor relationship may exist when a carrier lessee complies with 49 USC § 14102 and attendant administrative requirements."

7. Record of Transactions. In compliance with 49 C.F.R. § 376.11(d)(1) (or any successor regulation), Contractor shall prepare and keep records covering each trip for which Contractor's equipment is used in Carrier's service. Those documents shall contain the name of the Contractor, the point-of-origin, the time and date of departure, and the point of final destination. Those documents shall be preserved by Contractor as part of its transportation records.

8. CARRIER's Responsibility to Provide Shipments. The CARRIER agrees to make shipments available from time-to-time for transportation by the CONTRACTOR. The CARRIER shall exercise reasonable efforts to make shipments available, although this shall not be construed as an Agreement by the CARRIER to furnish any specific number of loads, or pounds of freight for transportation by the CONTRACTOR at any particular time or place.

9. Compensation to CONTRACTOR. Compensation for the use of the equipment and transportation services provided by Contractor shall be at the rates specified in **Appendix B**, attached hereto, and made a part hereof. The compensation to be paid hereunder includes compensation for both the equipment and a qualified commercial driver who Contractor selects to operate said equipment. Compensation becomes payable upon the satisfactory completion of each singular service as agreed by contractor or his or her agent. Satisfactory completion includes physical delivery of the shipment as agreed and in good condition and the submission to Carrier of the documents validating said physical delivery. Required documents will include interchange receipts, delivery receipts, trip permits, bills of lading, toll receipts, wait receipts, and other such documents as may be required by the laws of the United States or any sovereign state. CARRIER is under no obligation to pay CONTRACTOR for any job where more than 30 days has

elapsed since the job was completed. There will be no exceptions to this rule: It is the CONTRACTOR's responsibility to timely supply the requisite documents for payment.

10. Compensation for Loading, Unloading, Detention and Accessorial Services. Shipper will perform loading at origin and receiver will perform unloading at destination. CARRIER is responsible for the full cost of any loading or unloading services incurred. CARRIER will not separately or specially compensate CONTRACTOR for Detention time less than 2 hours for each instance of loading and unloading any given load.

11. Compensation for Empty Mileage. Empty mileage incurred by CONTRACTOR in the service of the CARRIER, specifically those miles operated to make a pickup or return from a delivery, or proceeding between loaded runs, will not be specially compensated by CARRIER, unless agreed to by the parties and documented in the Rate Confirmation document (see also paragraph 9).

12. CONTRACTOR Compensation Schedule. CARRIER shall pay CONTRACTOR for all services provided under this agreement within seven to fourteen (7-14) calendar days after CONTRACTOR's submission of the documents required for CARRIER to secure payment from CARRIER's customers¹. Those documents include, and CARRIER requires, documents required by the Department of Transportation and those documents necessary for CARRIER to secure payment from its transportation customer, including the signed freight bill, delivery receipt, or bill of lading. Payment of compensation to the CONTRACTOR is contingent upon submission of a bill of lading as to which no exceptions have been taken.

13. Deductions. CARRIER may deduct from any payment otherwise due CONTRACTOR all, or part of, any amount for which CONTRACTOR is indebted to CARRIER either under this agreement, any attachment hereto or any other bilateral agreement between the parties hereto. Such deductions include, but are not limited to, penalties for hours-of-service violations, required maintenance not performed or neglected by CONTRACTOR, Freight or Cargo claims, and failure to contribute to insurance premiums if CONTRACTOR elects to purchase insurance through CARRIER.

14. Documentation Supporting CONTRACTOR's Compensation. CONTRACTOR is responsible for compliance with all federal, state, and municipal rules and regulations relating to filing of logs, ELD compliance (subject to exemption – see paragraph 17), timecards, or other documents, as well as documentation and notification of accidents in a timely manner as required by law. CONTRACTOR shall indemnify and hold harmless CARRIER against any and all liability, including attorney's fees and other legal expenses from the failure of CONTRACTOR to abide by this section of the agreement.

15. Inspection of CARRIER's Tariffs. Pursuant to 49 C.F.R. § 376.12(g) (or any successor regulation), the Contractor is permitted to examine copies of the Carrier's tariff during normal business hours at the Carrier's terminal or other place(s) of business.

16. Expenses Incurred in Operating Equipment. Except as may otherwise be provided in this agreement, CONTRACTOR shall bear the operational expenses incurred in performing the transportation services requested by CARRIER under this agreement. Those expenses shall consist of and are limited to: fuel, fuel taxes, permits of all types, tolls, ferries, base plates and licenses, fines and penalties resulting solely from the acts or omissions of CONTRACTOR, insurance costs relating to insurance coverage

¹ For Contractor's **initial** payment, CARRIER shall pay CONTRACTOR for all services provided under this agreement within 21 calendar days after CONTRACTOR's submission of the documents required for CARRIER to secure payment from CARRIER's customers.

required to comply with this agreement, federal highway use tax on the equipment, federal, provincial, state or city income taxes, and any self-employment or payroll taxes; and any sales, use, excise and other taxes due and owing to ownership or operation of the equipment. CONTRACTOR shall also bear any expenses necessary to maintain the equipment in compliance with all applicable federal and state safety laws and regulations.

16.1 Overweight and Oversized Shipments: CONTRACTOR agrees to ensure that all shipments are in compliance with the size-and-weight laws of the States, provinces, and localities through which the Equipment will travel, and to notify CARRIER if the vehicle is overweight, oversized, or in need of permits before commencing the haul. CONTRACTOR agrees to pay or reimburse CARRIER for any costs or penalties due to CONTRACTOR's failure to weigh each shipment or to notify CARRIER that the vehicle is overweight, oversized or in need of permits. CONTRACTOR authorizes CARRIER to deduct or otherwise recover all such amounts.

16.2 Permits: CONTRACTOR agrees to obtain and pay for all permits and licenses necessary under Applicable Law for CONTRACTOR to operate the Equipment lawfully on CARRIER's behalf.

16.3 Fuel and Mileage Taxes and Reporting: CONTRACTOR agrees to be solely responsible for calculating, reporting, and paying all fuel taxes owed for the operation of the Equipment; and agrees to indemnify, defend, and hold harmless CARRIER from all claims arising out of or relating to the fuel tax reporting and payment (not subject to the indemnity limits of this Agreement).

17. Electronic Logging Device. To serve Customers' shipment-tracking demands and help fulfill government requirements, including compliance with the hours-of-service regulations, CONTRACTOR must maintain in the Equipment an Electronic Logging Device ("ELD") unless CONTRACTOR is legally exempted from ELD.

18. Purchase of Items from CARRIER. CONTRACTOR is not required to purchase or rent any products, equipment, or services from or through the CARRIER as a condition precedent or subsequent of entering into or continuing the agreement.

19. Charge Backs. CARRIER may not impose charge backs against the compensation due to the CONTRACTOR except for cash advances or the actual cost to the CARRIER for providing the specific items. The CONTRACTOR shall be entitled to copies of those documents necessary to determine the validity of all items charged back against compensation due to the CONTRACTOR. Any accessorial fees incurred by CONTRACTOR are subject to Customer's policy on reimbursement for said fees. CONTRACTOR shall submit receipts within time required by Customer. All signs and permits issued to CONTRACTOR upon startup are subject to a reasonable administrative fee incurred by CARRIER in securing said signs and permits.

20. Loss and Damage Claims. CARRIER shall provide CONTRACTOR with a written explanation and itemization of any deductions for cargo or property damage to be taken from CONTRACTOR's compensation. CONTRACTOR's liability for loss or damage to cargo transported on behalf of CARRIER is unlimited per incident where it is determined through investigation that such loss or damage occurred while the cargo was in the possession, custody, or control of CONTRACTOR or due to the negligence or misconduct of CONTRACTOR or its employees. CONTRACTOR will be provided a reasonable opportunity to present to CARRIER any documentation or other evidence demonstrating that the loss or damage was not due to CONTRACTOR's act or omission or that of its employees. Except in the case of

concealed loss or damage where the consignee did not have a reasonable opportunity to inspect the goods upon delivery, the presentation of a signed, clear delivery receipt will be considered adequate to establish, without more, that CONTRACTOR was not responsible for the loss or damage.

21. Fines. The CONTRACTOR shall assume the risks and costs of fines for overweight and oversize trailers. Furthermore, CONTRACTOR is responsible for and shall assume the risks and costs of fines for overweight and oversize trailers when transporting loads up to and beyond public scales (it is the CONTRACTOR's responsibility to weigh trailers in such circumstances). CARRIER will take appropriate and reasonable action to the extent practical and feasible to ensure that its customers observe all applicable federal and state laws pertaining to the loading of freight on the CONTRACTOR's equipment. However, CONTRACTOR assumes a duty to exercise due care in the course of delivering a load and will be responsible for the risks and costs of fines for overweight and oversize trailers when, in the exercise of said due care, CONTRACTOR knew, or should have known, that a trailer was overweight or oversize.

22. Cargo Claims: CONTRACTOR agrees to immediately report all cargo claims to CARRIER, including all claimed shortages, overages, damages, or other exceptions to the cargo. If possible, CONTRACTOR agrees to notify CARRIER of all cargo claims before leaving the Customer's or consignee's location. CONTRACTOR's indemnity obligation to CARRIER in this Agreement will apply to each cargo claim, including but not limited to delay, shortages, mis-delivery, and any direct damage claim relating to lost, damaged, or contaminated loads arising out of or relating to CONTRACTOR's services. CONTRACTOR authorizes CARRIER to deduct or otherwise recover any such amounts.

23. Use of Trailing Equipment. For every trailer, chassis, or other unit of trailing equipment provided to CONTRACTOR by CARRIER or CARRIER's Customer ("Trailing Equipment"):

23.1 CARRIER's Responsibilities CARRIER will be responsible for all expenses relating to regular maintenance of axles, brakes, and other electrical and mechanical systems, repairs of damage to Trailing Equipment attributable to reasonable wear and tear, and purchases of replacement tires for all of Trailing Equipment, provided these expenses are approved by CARRIER before the work is performed.

23.2 CONTRACTOR's Responsibilities CONTRACTOR agrees to be responsible for daily pre-trip and post-trip inspections, proper inflation of tires, prompt informing of CARRIER upon experiencing defective or malperforming tires, brakes, or other electrical or mechanical features of Trailing Equipment, and proper lubrication. CONTRACTOR will be liable for the entire amount of, all repairs of all damage to the Trailing Equipment other than damage caused by ordinary wear and tear, as well as all expenses and indirect, special, and consequential damages resulting therefrom—including but not limited to storage costs while awaiting repair, towing or moving expenses, and replacement costs in the event of a total loss—arising out of or relating to CONTRACTOR's use of Trailing Equipment, CARRIER's Customer's trailers, other CARRIER equipment, or equipment of any other CARRIER. CONTRACTOR authorizes CARRIER to deduct or otherwise recover all these amounts. Before deducting any such damage from CONTRACTOR's compensation, CARRIER will provide CONTRACTOR with a written explanation and itemization of the deduction.

23.3 Return of Trailing Equipment: CONTRACTOR agrees to return any Trailing Equipment in the same good condition as received by CONTRACTOR, reasonable wear and tear excepted, along with any and all other equipment and property belonging to CARRIER immediately upon CARRIER's request or upon termination of this Agreement. If Trailing

Equipment is not in as good a condition as when it was delivered by CARRIER (reasonable wear and tear excepted), CONTRACTOR authorizes CARRIER to restore Trailing Equipment to proper condition and to charge back to CONTRACTOR the costs of these repairs or reconditioning. If CONTRACTOR for any reason fails to return Trailing Equipment, CONTRACTOR agrees to reimburse CARRIER for all reasonable expense, including attorneys' fees, incurred by CARRIER in recovery of Trailing Equipment. CONTRACTOR agrees that if it is necessary for CARRIER to enter upon CONTRACTOR's private property or move CONTRACTOR's private property in order to recover Trailing Equipment, CONTRACTOR grants CARRIER permission to do so. CONTRACTOR agrees to defend, indemnify, and hold harmless CARRIER (and CARRIER's agents) from any form of liability whatsoever in connection with the repossession; such indemnity obligation will not be subject to the limits in this Agreement.

24. Contractor's Insurance Coverage. Contractor is legally obligated to maintain insurance for the protection of the public. Pursuant to FMCSA regulations (49 C.F.R. Part 387) promulgated under 49 U.S.C. § 13906 and applicable state laws, Contractor shall maintain public liability insurance (personal-injury/property-damage coverage and environmental restoration coverage) and cargo insurance in at least such amounts as are required by Carrier and/or Carrier's Customer, covering the Equipment at all times the Equipment is being operated on behalf of Carrier. Carrier's possession of any insurance, however, shall in no way restrict its rights of indemnification against Contractor. Contractor agrees to obtain and maintain public liability and property damage insurance coverage with respect to its operations hereunder in the limits of \$1 million for any person, \$1 million for any accident, and \$1 million property damage in any accident as concerns all equipment when used in the performance of services under this agreement and agrees to furnish evidence of such coverage to Carrier and arrange for Carrier to be named as an additional insured under such policy.

Contractor shall indemnify and be liable to carrier for each accident for any loss or damage to third person, or property, or to customer's equipment which results from the conduct of contractor or its employees.

25. Indemnification by CONTRACTOR.

25.1 In General. CONTRACTOR agrees to defend, indemnify, and hold harmless CARRIER (and its affiliates, subsidiaries, officers, agents, and employees) from any direct, indirect, or consequential loss, damage, delay, fine, civil penalty, action, claim for injury or death to persons (including to CARRIER's employees or agents), damage to property, environmental response or restoration expense, cargo loss or damage, loss of or damage to Trailing Equipment or CARRIER's other real or personal property, injunctive obligations, or other expense that CARRIER pays or otherwise incurs, including reasonable attorneys' fees and costs of litigation, arising out of or relating to any of CONTRACTOR's workers' negligence, gross negligence, willful misconduct, material breach of this Agreement, or other culpable acts or omissions ("CARRIER Damages"). CONTRACTOR authorizes CARRIER to deduct or otherwise recover any amounts due to CARRIER under this section. If any of CONTRACTOR's drivers operates the Equipment for any purpose other than the carriage of CARRIER's lading, CONTRACTOR agrees to defend, indemnify, and hold harmless CARRIER (and its affiliates, subsidiaries, officers, agents, and employees) from any CARRIER Damages arising from that operation. This section will remain in full force and effect both during this Agreement and after its termination.

25.2 CARRIER's Coverages. CARRIER has secured insurance coverages that may cover risks and liabilities for which CONTRACTOR has agreed to indemnify CARRIER under this Agreement (for example, public liability insurance). Such policies are expressly for the benefit of CARRIER and only incidentally may benefit CONTRACTOR. Terms of the policies may change (for example, higher or lower deductibles, length of coverage, UM/UIM waivers or limitations, or insurance underwriters). CONTRACTOR has neither any obligations under the policies nor any rights under their terms.

25.3 Claims by CONTRACTOR or Other CONTRACTORS. CONTRACTOR agrees to defend, indemnify, and hold harmless CARRIER from: (i) any claim by CONTRACTOR for loss of or damage to the Equipment or CONTRACTOR's other property (and any related fine, civil penalty, or expense, including reasonable attorneys' fees and costs of litigation) due to the negligence, gross negligence, willful misconduct, material breach of this Agreement, or other culpable acts or omissions of any of CONTRACTOR's workers; and (ii) any claim by any other CONTRACTOR of CARRIER for loss of or damage to the other CONTRACTOR's truck, tractor, trailer, or other property (and any related fine, civil penalty, or expense, including reasonable attorneys' fees and costs of litigation) due to the negligence, gross negligence, willful misconduct, material breach of this Agreement, or other culpable acts or omissions of any of CONTRACTOR's workers.

25.4 Reclassification. THE TERMS OF THIS AGREEMENT REFLECT THAT CONTRACTOR IS AN INDEPENDENT CONTRACTOR, NOT AN EMPLOYEE. THEREFORE: CONTRACTOR agrees to defend, indemnify, and hold harmless CARRIER from all reasonable attorneys' fees and litigation expenses CARRIER incurs in defending against any claims, suits, actions, or administrative proceedings brought by any of CONTRACTOR's workers, or, at CONTRACTOR's instance or with CONTRACTOR's consent, by any union or other private organization or member of the public, alleging that any of CONTRACTOR's workers is an employee of CARRIER, but which ultimately, upon completion of all appeals or the running of all applicable appeal periods, fail to result in any final judicial or administrative decision holding the allegation to be true.

26. Safe and Legal Operations. CONTRACTOR agrees to ensure that all of CONTRACTOR's workers: (i) drive or otherwise perform in a safe and prudent manner at all times so as to avoid endangering the public, the worker, and/or the property being transported; (ii) comply with Applicable Law (including without limitation prohibitions on texting and use of handheld mobile telephones), CARRIER's operating authorities, and all Customer Specifications and CARRIER Policies and Procedures (to the extent compliance would not pose an undue safety risk); and (iii) not be involved, during this Agreement, in an "accident" that, in CARRIER's reasonable judgment, was "preventable," as those terms are defined in 49 C.F.R. § 390.5 and 49 C.F.R. Part 385, App. B, respectively.

27. Compliance, Safety, and Accountability. CONTRACTOR's drivers must at all times meet FMCSA's safety standards sufficient to enable CARRIER to: (i) achieve and maintain a "satisfactory" or similar rating that enables CARRIER to operate without FMCSA intervention or restriction pertaining to any of the safety evaluation areas ("BASICS") measured by FMCSA's Compliance, Safety, Accountability program ("CSA"); (ii) obtain insurance coverage without increased costs associated with driver ratings or other driver measurements under CSA; and (iii) be and remain competitive with similarly situated CARRIERS with regard to quality of driver safety as measured under CSA. CONTRACTOR must notify CARRIER in writing within 2 days of receiving notification from FMCSA that any of

CONTRACTOR's drivers have been deemed "unfit" or otherwise disqualified from operating commercial motor vehicles in interstate commerce.

28. Customer Specifications. CONTRACTOR agrees to comply with all specifications dictated by CARRIER's Customers communicated to CONTRACTOR which may safely be complied with. If CARRIER's Customer conditions access to its facilities or freight upon compliance with any Customer Specification that CONTRACTOR does not assent to, CONTRACTOR may categorically opt out of receiving CARRIER's offer of shipments from such customer.

29. Reserved

30. Notice. Any notice required or permitted by this agreement to the CARRIER shall be deemed conclusively provided when hand delivered to CARRIER at any of CARRIER's terminals, or to either the CARRIER or the CONTRACTOR when deposited by either Party in the United States mail with first class postage prepaid, properly addressed to the other Party as follows:

CONTRACTOR_____	S LINE TRANSPORTATION, INC
Street _____	780 B WEST GRAND AVE
City _____	OAKLAND
State _____	CA
Zip _____	94612

CONTRACTOR's Initials: _____ CARRIER's Initials: _____

Should the address of either Party change, notice of the new address must be provided by first class mail (Or by e-mail or text if a CONFIRMATION is sent by the receiving party that the address change was received) within five (5) business days of that change.

31. Entire Agreement - Modification. This agreement constitutes the entire agreement and understanding between the parties and shall not be modified, altered, changed, or amended in any respect unless in writing and signed by both parties. This agreement shall be governed by the provisions of Title 49, Part B, United States Code, Part 376, Code of Federal Regulations and, to the extent consistent with federal laws and regulations, by the Laws of the State of California.

32. Alcohol and controlled substance use. CONTRACTOR and CONTRACTOR's drivers will comply with: (i) all drug-and-alcohol use-and-testing requirements under Applicable Law; and (ii) CARRIER's Drug-and-Alcohol Policy, including participation in CARRIER's random drug-and-alcohol testing program (if any). Violation by a driver of CARRIER's Drug and Alcohol Policy will immediately disqualify that driver. CONTRACTOR will bear the expense of all drug-and-alcohol tests for all of CONTRACTOR's drivers.

33. CONTRACTOR'S employees. CONTRACTOR at its own discretion may hire employees for the purpose of carrying out its obligations under this agreement. CARRIER has no authority or control over CONTRACTOR's employees and will have no authority to supervise or direct CONTRACTOR's employees and the performance of their work for CONTRACTOR, and shall have no authority or right to select, hire, fire or discipline any of CONTRACTOR's employees. CARRIER shall have and will exercise the powers with regard to commercial driver hiring, use and retention as provided by federal

statute or regulation. Such powers are however especially limited to CARRIER's complete compliance with said statutes and/or regulations.

CONTRACTOR assumes full responsibility for wages, benefits or expenses do CONTRACTORs employees. This includes income tax withholding, Social Security, unemployment, or other payroll taxes of the CONTRACTOR's employees. It is CONTRACTOR's responsibility for maintaining adequate Worker's Compensation insurance coverage for CONTRACTOR and all of his or her employees. CONTRACTOR agrees to indemnify and hold harmless CARRIER from any and all liability CARRIER may incur by CONTRACTOR's failure to comply with any provisions of this section.

34. Obligations to perform service. Because of liability of CARRIER to shippers, pursuant to certain provisions of federal and or state law, if the CONTRACTOR fails to complete transportation of the commodities in transit, abandons the shipment, or otherwise subjects CARRIER to potential liabilities, CONTRACTOR expressly agrees that CARRIER shall have the right to temporarily take physical possession of the equipment and complete the trip involved. CONTRACTOR hereby waives any recourse against CARRIER for such action and agrees to reimburse CARRIER for any costs and expenses arising out of completion of such trip, and take care of any damages that CARRIER may be liable to shipper arising out of such a violation of contract by CONTRACTOR.

35. Arbitration/Class Action Waiver. The parties to this Agreement agree to arbitrate *any and all* disputes, claims, or controversies ("claims") they may have against each other, including their current and former agents, owners, officers, directors, or employees, which arise from this relationship. The parties understand and agree that they are waiving their right to bring such claims to court, including the right to a jury trial. Class Action lawsuits, class-wide arbitrations, private attorney-general actions, and any other proceeding where someone acts in a representative capacity are prohibited. The arbitrator will issue a detailed written decision and award, resolving the dispute. The arbitrator's written opinion and award shall decide all issues submitted and set forth the legal principle(s) supporting each part of the opinion. By Initialing here, Contractor agrees to this waiver by initialing here: _____

All claims or disputes shall be arbitrated on an individual basis, and there shall be no aggregation of claims, class action arbitration, or other collective resolution of claims. The arbitrator has no authority to adjudicate any claims on a class or representative basis, and only is authorized to adjudicate claims on an individual basis. The arbitrator shall decide all questions of arbitrability. The foregoing agreement of Contractor to arbitrate shall be specifically enforceable under California law. Any award rendered by the arbitrators shall be subject to review only as provided in California law, and judgment may be entered on it in accordance with that law in any court having jurisdiction to do so. The prevailing party in any action at law or in equity, or in any arbitration matter commenced hereunder, will be entitled to reasonable attorney fees and reimbursement of its arbitration costs, including but not limited to arbitration fees, arbitrator compensation, expert witness fees, incurred in addition to any other relief to which that party may be entitled.

**CONTRACTOR ALSO UNDERSTANDS THAT BY ENTERING INTO THIS AGREEMENT,
THEY ARE WAIVING ANY RIGHT TO A TRIAL BY JURY.**

36. Forum Selection and Venue. Notwithstanding section 35, any dispute arising from or relating to this contractual relationship shall be governed by California law, and shall be decided solely and exclusively by arbitration in Alameda County, California. In the event, the arbitration provisions of this contract are adjudged to be unenforceable, the exclusive and sole venue for any dispute between the parties shall be decided solely and exclusively by State or Federal courts located in Alameda County, California. Any

party who unsuccessfully challenges the enforceability of this forum selection clause shall reimburse the prevailing party for its attorney's fees, and the party prevailing in any such dispute shall be awarded its attorneys' fees.

37. Effective Date and Duration of Agreement. This agreement shall be effective as of the date and time the agreement is executed by both parties and shall continue in effect until terminated in accordance with the provisions of this agreement. It is contemplated that the term of this agreement will be for ninety (90) days from the date of execution and can be continued in ninety (90) day segments until such time as terminated mutually, or by either party, as provided in this agreement. Should CONTRACTOR or CARRIER breach any of the terms of this agreement, the other party will give written notice of that breach and, if not corrected within seven (7) days of the date such notice is provided, can terminate the agreement upon twenty-four (24) hours written notice to the other party. If either party desires to terminate the agreement without cause, ten (10) days written notice must be provided to the other party. Either party may terminate this Agreement immediately for any of the grounds set forth in this Agreement.

37.1. Grounds for Immediate Termination of Agreement: If CARRIER or any of CONTRACTOR's workers do any of the following, the other party may elect to terminate this Agreement immediately: (i) commits—or attempts, conspires, or threatens to commit—a felony or intentional tort; (ii) violates any applicable federal, state, local, Native American tribal, or foreign law, regulation, or ordinance ("Applicable Law"); or (iii) materially breaches this Agreement.

37.2 Obligations Upon Termination: On the later of: (i) termination of this Agreement; or (ii) completion of the services provided for herein, CONTRACTOR agrees to remove all CARRIER identification from the Equipment and return it—or provide a letter certifying its removal—to CARRIER, together with all of CARRIER's property (in good working condition), Trailing Equipment, permits, load-securement equipment, and freight all to CARRIER's nearest terminal, and to pay CARRIER all amounts CONTRACTOR then owes CARRIER under this Agreement. If CONTRACTOR fails to do so, CONTRACTOR agrees to pay CARRIER all expenses incurred by CARRIER in returning those items to good working condition and in seeking the return of the items, including reasonable attorneys' fees and collection costs. CARRIER may pursue all remedies allowed by law or authorized in this Agreement against CONTRACTOR

38. Due diligence. CONTRACTOR acknowledges that he or she was offered the opportunity to review an unexecuted version of this agreement and its attachments and to seek legal advice at CONTRACTOR's own discretion. CONTRACTOR is satisfied that CONTRACTOR understands and is able to perform CONTRACTOR's obligations hereunder. CONTRACTOR acknowledges receipt of complete, signed copies of this agreement and all of its attachments.

39. Non-Disclosure of Trade Secrets, Customer Lists and Other Proprietary Information. CONTRACTOR agrees not to use, disclose, or communicate, in any manner, proprietary information about CARRIER, its operations, clientele, or any other proprietary information, which relate to the business of CARRIER. This includes, but is not limited to, the names of CARRIER's customers, its marketing strategies, operations, or any other information of any kind which would be deemed confidential or proprietary information of CARRIER, including, but not limited to: Customers, Shippers, Brokers, Freight-Forwarders, Third Party Logistics Companies, Employees, Rates, etc. CONTRACTOR acknowledges that the above information is material and confidential and that it affects the profitability of

CARRIER. CONTRACTOR understands and that any breach of this provision, or of any other Confidentiality and Non-Disclosure Agreement, is a material breach of this Agreement.

If it appears that CONTRACTOR has disclosed (or has threatened to disclose) Information in violation of this Agreement, CARRIER shall be entitled to an injunction to restrain CONTRACTOR from disclosing, in whole or in part, such Information, or from providing any services to any party to whom such Information has been disclosed or may be disclosed. CARRIER shall not be prohibited by this provision from pursuing other remedies, including a claim for losses and damages.

40. Non-solicitation Of CARRIER's Customers. During the effective dates of this Agreement, and for a period of one (1) year from and after CONTRACTOR's last day of transporting any Cargo for CARRIER, CONTRACTOR will not, without the prior written consent of CARRIER, call on, solicit or take away any of CARRIER's customers as to any shipping of a type and in the States for which CARRIER provides shipping for its respective customers. Should CONTRACTOR directly do business with any of CARRIER's customers during the effective dates of this Agreement and/or within one (1) year after the termination of this Agreement in violation of the foregoing provisions of this Paragraph, CONTRACTOR will pay to CARRIER a commission/rate of twenty percent (20%) of all gross freight charges received by CONTRACTOR as to any and all such shipments of Freight/Cargo which are in violation of this paragraph.

41. Confidentiality. CONTRACTOR shall not, without the prior written consent of CARRIER, use for CONTRACTOR's own benefit or purposes or for the benefit or purposes of any other person, firm, partnership, association, or corporation or other business organization, entity or enterprise, or disclose (except in, and to the extent necessary for, the performance of its duties under this Agreement) in any manner to any person, firm, partnership, association, or corporation or other business organization, entity or enterprise, any trade secrets, information, data, know-how or knowledge (including, but not limited to, that relating to costs, freight rates, freight discounts, pricing and marketing methods) belonging to or relating to the affairs of CARRIER, except to the extent otherwise required by law. Upon termination of this Agreement, CONTRACTOR will return to CARRIER any written proprietary or confidential information of CARRIER which is in CONTRACTOR's possession, custody, or control, and CONTRACTOR will delete or destroy any other proprietary or confidential information of CARRIER which is in CONTRACTOR's possession, custody, or control, including, without limitation, any CARRIER customer lists whether or not identified as proprietary or confidential.

42. Confidentiality of Disputes: In the event of a dispute, the PARTIES agree that any dispute shall remain confidential between the PARTIES, whether such disputes are resolved informally or require litigation in an arbitral forum. The PARTIES agree that the terms and conditions of this agreement, and any and all actions by the parties to this agreement to effectuate this agreement, are confidential and shall not be disclosed, discussed, or revealed by the PARTIES to any other person or entity. In the event any person or entity asks the PARTIES about any such matters, they shall respond only that "the matter is private," and refuse to discuss any such matters further. CONTRACTOR specifically agrees to holding all matters between the parties private and waives any claimed right of free speech, including participation in any public protest against CARRIER in any forum whatsoever. The damages arising out of any breach of this confidentiality provision are and will be extremely difficult to ascertain, and therefore the parties to this agreement agree that any breach of this paragraph will result in an award of liquidated damages in the amount of \$20,000.00, in addition to any other remedies available to the PARTIES.

43. Consent to Do Business by Electronic Methods. CARRIER and CONTRACTOR consent to do business using any electronic method permitted by FMCSA. This consent includes, but is not limited to, the use of electronic methods to effect and transmit the signature of any document, including this Agreement and any supplement, modification, addendum, amendment, notice, consent and/or waiver required by this Agreement, or any other document required by FMCSA regulations to be generated and maintained (or exchanged by private parties). The parties agree that when either party uses any electronic method to accomplish electronic signatures, the chosen method: (i) identifies and authenticates the sender as the source of the electronic communication; (ii) indicates the sender's approval of the information contained in the electronic communication; and (iii) produces an electronic document with the same integrity, accuracy, and accessibility as a paper document or handwritten signature. Either party may elect to use a handwritten signature with respect to any document, provided that the election will not preclude the other party from using an electronic signature to the same document.

44. Attorneys' Fees. The prevailing party shall have the right to collect from the other party its reasonable costs and necessary disbursements and attorneys' fees incurred in enforcing this Agreement.

45. Superseding Agreement. This Agreement constitutes the entire agreement between the parties and contains all the agreements between them with respect to the subject matter hereof. It also supersedes any and all other agreements or contracts, either oral or written, between the parties with respect to the subject matter hereof, and shall be retroactive to the fullest extent of the law.

IN WITNESS WHEREOF, the parties hereto have executed this agreement this __ day of _____, 20__, at _____ (am/pm) and same shall be considered binding upon both parties and shall remain in full force and effect unless and until terminated according to the terms of this agreement.

FOR CONTRACTOR:

Name / Title

Contractor's SS# or EIN -----

Contractor's Driver License No. (attach copy)

Contractor's signature_____

FOR CARRIER:

S LINE TRANSPORTATION INC.
780 B WEST GRAND AVE
OAKLAND, CA 94612

(Name)

(Title)

Carrier's signature_____

LIST OF APPENDICES

Acknowledgement of Contractor's Equipment.....App. A

Specification of Compensation App. B

APPENDIX A

Acknowledgement of Contractor's Equipment

(USE ADDITIONAL COPIES AS NECESSARY TO ACCOMMODATE ALL EQUIPMENT)

Carrier acknowledges Contractor's use of the following equipment on the date and at the time stated below:

Tractor Description (Make/Model/Year) VIN

Carrier's Authorized Representative _____ Date Time (am/pm)

I have seen, reviewed and received a copy of this Appendix A – Acknowledgement of Contractor's Equipment.

Contractor _____ Date Time (am/pm)

APPENDIX B
S LINE TRANSPORTATION
IC TRANSPORTATION AGREEMENT
RATE SCHEDULE
LOCATION: LONG BEACH, CA.
Effective 1/1/23

Miles	LOADED MOVE	Empty MOVE	BOBTAIL MOVE
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